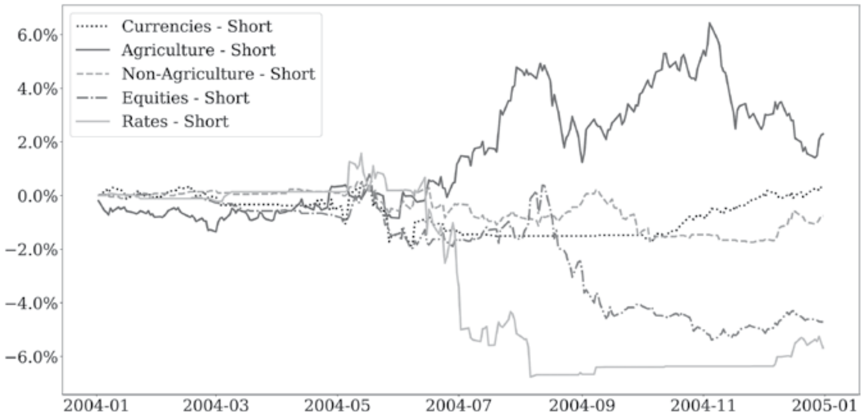

FIGURE 6.17 **Short sector performance 2004.**

The Long Gilt chart in Figure 6.18 is a good example of the weakness of our overall approach, and the risk that we face with every trade we enter. In this case, the price shot up in early March and our trend model entered a new long position just at the highs of March. From there, the price fell down, first a little bit, not enough to trigger stops. Then a sudden large move down, we took a painful loss. This head-fake move in the rates sector is clearly visible in the sector charts, where the long rates sector took a double digit hit during the same time.

FIGURE 6.18 **Costly trade in the Gilt.**